

Multiple Choice (10 marks)

1. Suppose that the federal government reclassified the purchase of a new home as consumption spending rather than investment spending. This decision would
 - (a) increase aggregate demand and decrease real GDP.
 - (b) decrease aggregate demand and decrease real GDP.
 - (c) decrease aggregate demand and increase real GDP.
 - (d) have no impact on aggregate demand and real GDP.
2. In the equation of exchange
 - (a) M stands for the money supply and Q stands for quality.
 - (b) V stands for the velocity of GDP and Q stands for quality.
 - (c) P stands for the price level and Q stands for quarter.
 - (d) P stands for the price level and V stands for the velocity of money.
3. All else equal when the United States exports more goods and services
 - (a) the value of the dollar falls as the supply of dollars increases.
 - (b) the value of the dollar rises as demand for dollars increases.
 - (c) the value of the dollar falls as demand for dollars decreases.
 - (d) the value of the dollar rises as the supply of dollars increases.
4. Which of the following is an implicit cost for the owner of a small store in your hometown?
 - (a) The wage that is paid to the assistant manager
 - (b) The cost of purchasing canned goods from a wholesale food distributor
 - (c) The value placed on the owner's skills in an alternative career
 - (d) The cost of cooling the refrigerated meat display
5. Unlike a perfectly competitive firm, a monopoly
 - (a) will charge the highest price it can on the demand curve
 - (b) has a horizontal marginal revenue curve
 - (c) has an upward sloping total revenue curve
 - (d) faces a downward sloping demand curve

True / False (10 marks)

Answer True or False

6. True or False: The GDP Deflator is calculated as $(\text{Nominal GDP} / \text{Real GDP}) \times 100$, which equals 125 in this case.
7. True or False: Private industry can promote economic growth by implementing innovative production techniques that improve efficiency.
8. True or False: The natural rate of unemployment includes both structural and frictional unemployment.
9. True or False: The supply curve for lawn-mowing services slopes upward due to the increasing opportunity cost of time for service providers.
10. True or False: The increase in gasoline consumption while prices rise indicates a price ceiling is in effect in the market.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a trade surplus impacts the current-account and financial-account balances, and analyze the implications of these relationships in an economy.
12. How does an increase in corporate optimism influence the demand for loanable funds and subsequently affect interest rates in the economy? Discuss your reasoning.

End of Paper